REVIEW2001

STICERD

Suntory and Toyota International Centres for Economics and Related Disciplines

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Suntory and Toyota International Centres for Economics and Related Disciplines

The Suntory Centre:
Economic Organisation and Public Policy Programme
Japanese Studies Programme
Theory Group

The Toyota Centre:
Centre for Analysis of Social Exclusion
Distributional Analysis Research Programme
Economics of Industry Programme

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The Suntory and Toyota International Centres for Economics and Related Disciplines (STICERD) at the London School of Economics and Political Science (LSE) were established in 1978 with funds donated by Suntory and the (then) Toyota Motor Company Limited of Japan. In 1984 and 1989 Suntory Limited gave further donations to STICERD to support new research programmes and the Saji Research Lectureship in Japanese Economic and Social History. In 1995 Toyota Motor Corporation provided additional funds towards the endowment. **Since April 2001, STICERD has been part of the new LSE Research Lab.**

STICERD finances a wide variety of **research** by members of the staff of LSE, both inside and outside the Centres. The Centres also provide accommodation and facilities for research programmes funded from a variety of sources. Support for postgraduate students is offered annually in the form of the **Suntory and Toyota studentships.**

Various seminars are organised by STICERD. These include CASE Social Exclusion Seminars and Welfare Policy and Analysis Seminars, LSE/UCL Development and Growth Seminars, STICERD Economics of Industry Seminars, Economic Theory Seminars, International and Japanese Studies Symposia and Work in Progress Seminars. Financial support is provided for a number of seminar series within LSE, and for public lectures. STICERD hosts **distinguished visitors, academic visitors and research associates** from all over the world. ■

Contents

2 **Foreword by Tim Besley**
3 **The new space**
5 **Distinguished visitors scheme**
6 **Active involvement in social policy**
8 **Report on the visit by Professor William Julius Wilson**
9 **Suntory and Toyota lectures**
10 **LSE research lab official launch**
11 **Symposium on economics and social cohesion**
Beyond the buzzword 'social capital' in economics **12**
Understanding social networks for development **16**
Economics and social exclusion **19**
22 **Thoughts on reaching a milestone**
24 **Seeing how the other half live: a 'summer placement' at the Department for Work and Pensions**
24 **Does growth trickle down to the poorest neighbourhoods?**
25 **Why rising tides don't lift all boats: an explanation of the relationship between poverty and unemployment in Britain**
25 **Informal labour markets and social safety nets during transition: the case of Georgia**
26 **The roles of schooling and educational qualifications in the emergence of adult social exclusion**
26 **Economic evaluation in social welfare: developing the infrastructure**
27 **V-lab**
27 **The evolution of small loss-making firms**
28 **Welfare concerns in Central and South Asia**
29 **Enforcing intellectual property rights**
29 **Towards a more unified world economy**
30 **In search of theories that work...**
32 **'Happiness' in economics**
32 **The economic impact of institutional change: should Prime Ministers be elected?**
33 **Sunflower adoption in Mozambique**
33 **The media and politics**
34 **New research on British Japanese relations**
34 **Lecture by Professor Frank Hahn**
35 **Appendices**
37 **How to find us**

Foreword

The STICERD Review was one of the very many important innovations introduced by Howard Glennerster during his time as Chairman of STICERD. This is something of a 'new look' STICERD Review. The idea behind it is unchanged: to give a broad sense of what goes on in STICERD – the kinds of research concerns that preoccupy the varied community of scholars who work here. This year, we include more personal views from three of our senior staff, something which we hope to continue in future. We have also presented a themed symposium cutting across the research programmes. This Review stands as testament to the aim of producing research that is both relevant and rigorous. ■

Tim Besley, Director of STICERD

'This Review stands as testament to the aim of producing research that is both relevant and rigorous.'

The new space

STICERD has never been renowned for its material environment. Academic contribution and wonderful people have certainly characterised it, but this character has been achieved in spite of, rather than because of, well-endowed space and facilities.

For STICERD to find itself in a new, purpose-built facility was therefore always going to be something of a culture shock. The revolutionary nature of the facility (at least for academics) has made it even more of one. Situated on the redeveloped and expanded fifth floor of the Lionel Robbins Building, STICERD is now located in what is essentially a single contiguous space around the central light well of the library building. With only a barrier of what is – hopefully – reinforced glass between the STICERD viewer and the well, those not troubled by vertigo can enjoy a splendid view down through the library floors to the basement. The vantage point is particularly advantageous for looking down onto the library users who, Escher-like, seem to be constantly ascending and descending a never ending staircase, although it also has the more dubious advantage of enabling us to monitor the standards of cleaning applied to the top of the central lift shaft. Overall, though, it is a spectacular perspective to be able to enjoy, if not one for the faint-hearted.

Round this light well, the overwhelming part of the research space is open plan. Only some senior research staff and administrators, and teaching staff without a departmental office, have individual offices. Individual research spaces are divided by screens from neighbouring ones, ensuring a measure of privacy but offering few barriers to the transmission of sound or smell. Those on the outside edge of the building perhaps have the best of it – picture windows, striking views over the roofs of the Law Courts or towards Centre Point, and a fair measure of natural light. Further in, the spaces are dependent on artificial light and more vulnerable to the vagaries of the overall ventilation and temperature-control system of the building.

The open-plan nature of the space makes sense, not least in making maximum use of the limited floor area available, but it has inevitably posed problems. Some have stemmed from the teething problems that persist in any new building, particularly in one such as this, whose design and technology are, to say the least, not unambitious. Others are associated with the way in which most of us have been accustomed to work, enjoying an exclusively private space or sharing it at the most with one or two others. In this new environment it is no longer possible to conceal one's own inadequate desk-top filing system behind a solid door. The extent or absence of the order obtaining in one's research life is in full public view. Filing cabinets can be used to lock away the worst excesses, but even that requires a modicum of planning. We have to get used to a degree of such exposure. A greater tolerance of people walking past one's back, and of others' telephone conversations, is also part of the process of adaptation. The other side of the adaptation is remembering that space is not private, and that means more consideration for others. It may indeed be possible to concentrate on one's research in a context of considerable noise, but acquiring that unfamiliar skill is likely to be both difficult and time consuming, and research will suffer in the meantime.

The key to making this open plan system work is the maintenance of a degree of public space around the light well and in a common area where conversations can be conducted. Having to go to a specified area means, of course, that the conversation is planned. There is perhaps a cost in terms of decline in casual conversations of the kind formerly generated in the corridor or between next door neighbours, but the nature of the space as a whole is much more likely to generate casual encounters between members than used to be the case.

Apart from conversation, the public spaces play an important part in reinforcing the existence of STICERD as a community, something that has characterised the existence of STICERD since its inception. The provision of space for coffee making and communal eating of sandwiches plays a major part in this, as do errands to collect one's post or the desperate search for whichever printer it is that is printing out one's document. The open plan space, I think, reinforces that important sense of community, but inherent in it, as in all communities, is the potential for increasing tensions as well as harmony.

We are still adjusting to our new space, and that process will continue for quite a while. There are few in STICERD who see no problems in making this adjustment. However, if you were to ask STICERD members whether they would prefer to go back to the rabbit warren of the earlier Lionel Robbins Building, let alone the run down, bureaucratic maze of Southampton Buildings that was our home for nearly two years, I don't think that there would be too many positive responses. Now we have to try and translate the benefits of the new environment into research, as STICERD is, after all, not space but people. ■

Janet Hunter,
Deputy Director of STICERD
and Saji Senior Lecturer

Distinguished visitors scheme

During the year the following people visited LSE under this Scheme:

Professor Giandomenico Majone
Professor Emeritus at the European University Institute in Florence, visited the Government Department from 15 February until 15 March. During his visit he worked mostly on the organisation of a book on non-majoritarian institutions and democratic governance which he hopes to write in the next year. This book will provide both a positive and a normative analysis of the role of such institutions at the national and the supranational levels.

Professor Gene M Grossman
Jacob Viner Professor of International Economics at Princeton University, visited STICERD and the Economics Department from 21 May until 14 June. His research focused on international outsourcing. In 'Outsourcing and Trade' he and a colleague have developed a model of a firm's choice whether to outsource at home or abroad. He also worked on another joint paper 'International Protection of Intellectual Property', a preliminary version of which was presented to the Macroeconomics and Trade Seminar at LSE. While visiting STICERD he presented 'Educating Voters' (Ch.6 of *Special Interest Politics*, with Elhanan Helpman, MIT Press, 2001) to the Political Economy Workshop.

Professor Roger Noll
Professor of Economics at Stanford University, visited STICERD and the Economics Department. He worked on two projects: one dealing with telecommunications reform in several African countries; the other examining the economics of British professional soccer, focusing on how the prospect of promotion or relegation affects the business strategies of teams. He also assisted three graduate students with their research on policy reform topics.

Professor Rainer Dahlhaus
Professor of Economics at the University of Heidelberg, visited the Economics Department during March/April. He made contact with members of the econometrics group and interesting work was initiated which he hopes will result in publications. He gave two seminars and a lecture.

Professor Andrew Postlewaite
Professor of Economics, Finance and Public Policy and Management at the University of Pennsylvania, visited the Economics Department. He continued a joint project on the role of courts in contracting problems. He also completed joint work on the role and measurement of information in asymmetric auction problems. Both projects resulted in research papers. ■

Active involvement in social policy

Anne Power graduated in Spanish at Manchester University in 1962. She then taught in Tanzania and first came to LSE in 1963 to take the Diploma in Social Administration. She worked and studied in the USA during the next few years, gaining an MA in Sociology from the University of Wisconsin in 1966. During the 1970s she worked in North London, and became National Consultant to the Department of the Environment's Priority Estates Project. She joined the Department of Social Administration at LSE in the 1980s and set up the Postgraduate Diploma in Housing, completing her PhD in 1985 under the supervision of Brian Abel-Smith. She was appointed Professor of Social Policy in 1998 and is a founder, co-director of CASE. She has authored numerous books, including the recently co-authored *Cities for a Small Country* with Richard Rogers.

Many elements of social policy are impossible to understand and inaccessible through traditional academic research. For example, conditions in the worst neighbourhoods, family and race relations, the behaviour of front line staff in delivering services to very poor people, street conditions, all can only be understood by real time spent in the areas and among the affected. Many aspects of government social policy barely touch people in the worst circumstances, to whom government initiatives are targeted. The role of social networks in community relations, the role of self-help in holding together families and groups, and the direct impact of top-down government initiatives into people's lives such as the introduction of literacy hours or curfews, can only be understood fully by talking to the people directly affected. This means that social policy has to be a live subject, and it has to be linked into what is happening on the ground as well as what is happening at the top of the decision-making hierarchy.

I came to the academic world from a practical background in communities. In the United States I lived in the West-side ghetto of Chicago. In Tanzania I lived with local families and learnt the local language while teaching in a secondary school. In London I lived in Holloway and became deeply involved in a very wide range of community activities. Because the area that I lived in was being demolished through slum clearance action by the government, I directly came up against government policy in action, as opposed to community needs. This led me into working in some of the most difficult estates in the country and gave me the experience and understanding which I have since used in my writing and teaching.

I regard LSE as a rich resource for the ideas and policies that are crucial to the cohesion of society. When I returned to LSE in 1981, I was immediately struck by the potential source of help for policy areas with too little research or linkage. It helps train generations of bright, new workers and it acts as a refuge and a shield for people like myself, trying to understand how the complex social dynamics of cities and urban neighbourhoods really work.

I still believe, after 20 years at LSE, that by studying the minute detail of human relations in action, we understand that reality better and are able therefore to talk with relevance and understanding to decision-makers, students and researchers in other fields. Over my time at LSE I have become involved in various levels of government, mainly in order to learn more about how government operates and how its aims and operations link into communities. Feeding into government my detailed perspective on ground level events and developments, gives me hope that government can respond less with a spanner in the works, with a lighter hand that encourages organic change.

As a member of the Urban Task Force and the Sustainable Development Commission, I have watched all the conflicts and contradictions of government policy, and noticed the vital relevance of high quality, grounded research; but also its frequent irrelevance to government thinking because of presentational and language barriers. Research centres like CASE, STICERD and CEP can jump this hurdle. I have found cooperation with other academics at LSE in economics, government, law and development immeasurably reinforcing. My subject areas are so small scale and so special, that on their own they could be regarded as almost irrelevant. However, linked into the very large scale of ideas, experience and academic information that surrounds work like mine, I still feel it is possible to shape the world that we live in, in a dynamic tension between academic research, practical, lived experience and policy-making. This should lie at the heart of social policy. ■

'I still feel it is possible to shape the world that we live in, in a dynamic tension between academic research, practical, lived experience and policy-making.'

Anne Power, Director, Centre for Analysis of Social Exclusion and Professor of Social Policy

Report on visit by Professor William Julius Wilson

Professor Wilson from the Kennedy School of Government at Harvard University has been a regular Distinguished Visitor to the Centre for Analysis of Social Exclusion in STICERD. During his visit in June and July 2001, he worked on a book he is co-authoring, reporting on a comparative study of four working- to lower-middle-class ethnic neighbourhoods in Chicago: African-American, white-ethnic, Latino, and a neighbourhood undergoing transition from white-ethnic to Latino. The research for this project was conducted from 1993 to 1996, using participant-observation field methods. Nine field researchers collected the data for this project.

The focus of the study is on patterns of behaviour and tensions at neighbourhood level. America has a long history of racial tensions. Municipal, state, and regional inter-group antagonisms have received considerable national media attention. Yet racial tensions across the United States often emanate from patterns of behaviour and social interactions at the neighbourhood level. Given the smaller spatial dimensions resulting in a smaller research laboratory, it is easier to observe and record patterns of interaction and conditions that shape racial responses and racial outcomes at this level.

After several months of field research, it was realised that to comprehend adequately racial behaviour in these neighbourhoods, it would be necessary to gather data on two major aspects. One is a detailed examination of the social organisation of the neighbourhood (the extent to which the residents are organised to maintain effective social control and to realise their common values). The other is an extensive examination of the cultural organisation of the neighbourhood (the sharing of modes of behaviour and outlook). Data on neither of these aspects can be obtained from surveys, but only from detailed ethnographic research of the kind undertaken for this project. ■

‘... racial tensions across the United States often emanate from patterns of behaviour and social interactions at the neighbourhood level.’

Suntory and Toyota lectures

STICERD gave support to two Public Lectures at LSE this academic year.

On 7 December 2000, Professor Ken Binmore of University College London gave a lecture entitled **Big Money Auctions**, funded jointly by the Operational Research Department and STICERD. Professor Binmore led the team of economists who designed the auction used by the British government to sell spectrum licences for the next generation of cellular telephones. The auction raised $36 billion for the Treasury which made it the biggest auction ever. In his lecture he reviewed the design process and compared the British sale with the experience of other European countries.

On 13 March 2001, Emeritus Professor Charles E Lindblom of Yale University gave a lecture entitled **Rethinking Market Constraints on Public Policy**, funded jointly by the Government Department and STICERD. Professor Lindblom re-examined, provided a critique of and amended his well-known thesis on the privileged position of business in market democracies, originally presented in *Politics and Markets* (1977). ■

‘The auction raised $36 billion for the Treasury which made it the biggest auction ever.’

LSE research lab official launch

12th and 13th July 2001

STICERD participated in the official Launch by Gus O'Donnell, Head of the Government Economic Service, of the LSE Research Lab on 12 July. He applauded the creation of the Lab and underlined the need for such centres of excellence to strengthen the social science base in order to aid government in its policymaking process.

Nick Stern – a past Chairman of STICERD, now Chief Economist and Senior Vice President of the World Bank – followed Mr O'Donnell in stressing the need for rigorous longitudinal research produced by institutions such as the LSE Lab in the field of international trade and development.

The speeches were preceded by a full programme of talks by the Lab's programme directors, attended by 200 guests from government and Whitehall, NGOs, the City, the research community, foundations and sponsors of the Lab, on topics ranging from education and social exclusion, through structural economic change, to the regulation of financial markets.

The Launch was followed the next day by a series of internal presentations by research staff on work in progress, followed by discussions.

Symposium on economics and social cohesion

Introduction

Tim Besley, Director of STICERD

The following three essays talk to the broad theme of the social networks and economics. Economists have increasingly appreciated the need to bring social structures into their understanding of households, firms and markets. In some quarters, these ideas are embodied in the notion of 'social capital'. Guillermo Cruces reviews this area and offers a personal view on the success of this area in making progress on understanding economic phenomena. Economists pursuing these ideas are increasingly relying on fieldwork to become familiar with the social context that they are studying. In his contribution, Markus Goldstein builds on his first-hand knowledge of Ghanaian households gained while doing fieldwork for his PhD dissertation at Berkeley. He shows how understanding the social networks is essential in understanding resource allocation within households. Abigail McKnight discusses social structure in a different context; trying to understand the meaning and importance of the notion of social exclusion. Along with others in CASE, she has been trying to understand how this idea can be operationalised and can inform policy debates in the UK.

'Economists have increasingly appreciated the need to bring social structures into their understanding of households, firms and markets.'

Abigail McKnight
Markus Goldstein
Guillermo Cruces

Beyond the buzzword 'social capital' in economics

'Beyond confusing terminology and methodological difficulties, there is an overlooked yet growing body of economic research dealing with many of the ideas defined within the term social capital.'

How would you explain the difference in institutional performance between the North and the South of Italy? What are the causes of the African growth tragedy? Why is the Grameen Bank successful while similar projects in other countries failed miserably? And more important: would you say that there is something in common between these ideas and, for example, the decay of associational life in the United States? Imagine for a moment that we have a concept, an idea that could explain all this and much more. It would be like discovering the philosopher's stone for the social sciences. This was almost the feeling at the beginning of the nineteen-nineties when the concept of social capital started to gain momentum in development studies and the social sciences in general.

Although its origins can be traced back to Loury (1977), the sociologists Bourdieu (1980) and Coleman (1988) defined the term 'social capital' as the extent of an individual's social networks and its effects on individual outcomes. A few years later, Putnam (1993) published '*Making Democracy Work*', an insightful book on the relationship between social capital and the functioning of government institutions in different regions of Italy, which started the 'social capital boom'. In this seminal work, they defined social capital in a much broader sense than the original sociological definition: it was the 'features of social organization, such as trust, norms, and networks that can improve on the efficiency of society by facilitating coordinated actions'.

This definition was wide enough to encompass a whole range of social phenomena, like differences in institutional performance in Italy, the barriers to development in Africa, the Grameen Bank and rising individualism in the US, among many others. This definition was in fact the starting point of a vast s ocial capital literature, with some very interesting and creative ideas and (as happens with all trends) highly variable research quality.

The new social capital literature covered mainly the fields of Sociology, Political Science and Development Studies. The extension to Economics seemed straightforward: surely it was just a matter of adding this new form of capital to the existing work on physical and human capital.

But, despite the euphoria among a wide array of social scientists, there was a severe criticism of the whole approach among mainstream economists. We can identify at least two sources of conflict between the social capital literature and economics.

■ First, the nature of research on social capital. Although it appeared as a new and unique phenomenon, one single term, 'social capital', referred to a myriad of distinct (although closely related) ideas: trust, reputation, an individual's social networks, participation in groups and more. This multiplicity of meanings was not suitable for the peculiar world of economic modelling. Economic models are often deliberately unrealistic and simplistic; and economists tend to incorporate only one idea at a time. Social capital implied too many things to be readily adopted by the economic discipline.

■ Second, the nature of economics. All these sub-components of social capital (trust, participation, networks) are forms of social interaction. While the toolbox of economics has been successfully applied to some types of non-market interactions, like marriage and crime, endogenous social interactions are difficult to handle within neoclassical economic theory. Even Robert Solow, a brilliant economist, critical of the social capital literature, recognised that incorporating different forms of social interactions 'is a dirty job, but someone has to do it; and mainstream economics has puristically shied away from the task'.

Economics as a discipline, then, seemed to be isolated from the social capital literature. However, I will argue that this is not the case. Beyond confusing terminology and methodological difficulties, there is an overlooked yet growing body of economic research dealing with many of the ideas defined within the term social capital.

The term itself is seldom used nowadays; economists who have engaged in the 'dirty job' of working out the microfoundations and empirics of social interactions prefer more concise, less equivocal expressions like 'social networks', 'group participation', 'reputation', 'peer influences' and so on. Despite the new terminology, this research shares many ideas with the social capital literature.

The following review, though partial, is divided into four main categories and aims to provide a glance at recent work in Economics related to the social capital literature.

Trust

The idea of trust is central to the social capital literature. Coleman (1988) provides an interesting illustration: in the wholesale diamonds market, merchants exchange stones for inspection with no formal contracts or insurance. The merchants usually belong to a close-knit community that sustains a high level of trust among its participants. What can economists say about the effects of trust in an economy? Moreover, is it possible to measure trust?

The cross-country analysis of Knack and Keefer (1997) is a pioneer in this area. They found a consistent positive relationship between a country's level of trust and economic growth. However, this study has a considerable drawback: there is no concrete evidence on the actual mechanism linking trust and growth. Zak and Knack (2001) attempt to fill this gap. They construct a general equilibrium growth model, where agents may trust others when transacting, or they can spend resources in verifying the truthfulness of other agents' claims. A precise definition of trust is derived within this framework: it is 'the aggregate time that agents do not spend in verifying others' actions', that is, the time spent in production rather than in 'investigations'.

There seem to be theoretical reasons for and empirical evidence on the importance of trust. But we have not said anything on what exactly Knack and Keefer meant by social capital or trust. Their trust/social capital variable is based on attitudinal survey questions from the World Values Survey (WVS), which asks: 'Generally speaking, would you say that most people can be trusted, or that you can't be too careful in dealing with other people?'

Though this measure of social capital became very popular, the idea of measuring an economy's level of trust by means of a single question has been highly controversial. In an insightful study by Glaeser *et al* (2000), a number of students were asked a series of WVS-like questions. Their answers were then linked to their actual behaviour in a set of specifically designed trust-related games. Relating the answers to the behaviour in the games, the authors conclude that a person's answer to the famous 'trust' question is related to the person's own trustworthiness, rather than her trust of other people.

The idea of trust is certainly appealing, and probably plays an important role in the functioning of the economy; however, the findings of Glaeser and his co-authors cast some doubts about the validity of the empirical evidence provided by Knack and Keefer.

Reputation and trust in trading and contracting networks

While the idea of measuring a societal level of trust is quite vague, there is a growing body of research giving empirical content to the notions of trust and reputation in the relations among firms.

McMillan and Woodruff's (1999) work on informal credit in Vietnam is a good example. Vietnam is characterised by the lack of an appropriate law-enforcement infrastructure for business; since commercial disputes will probably not be solved by courts, many deals rely on the goodwill of the parties involved. Can we measure the level of trust between firms? Can we say anything about its determinants?

McMillan and Woodruff constructed an indirect measure. They surveyed a set of Vietnamese firms, collecting data on the amount of informal credit granted by suppliers to customers. In case of default, it is very unlikely that a court will enforce these credits, and thus the amount granted is a valid measure of trust between the parties.

They find that trust and reputation matter, filling the gap of deficient conflict-solving institutions. Firms offer more credit the longer the trading relationship and the more information the firm has about its customer. Moreover, customers who have been identified through business networks and friends received substantially higher credit.

‘The simplistic, little-by-little approach of economics may be a comparative advantage in investigation of the intricate world of social interactions.’

Banerjee and Duflo's (2000) study of reputation in the Indian software industry is similar in spirit. The industry is characterised by highly customised products. The total costs are difficult to estimate *a priori*, and thus the typical project often involves substantial cost overruns. Again, it is unlikely that local courts could handle the industry's incomplete contracts. The approach permits identification of reputational effects. They surveyed firms in the industry, collecting data on cost overruns, and analysed the contractual outcomes. Among other interesting findings, younger firms end up bearing a larger share of cost overruns than older, more reputable firms.

Both studies show that the interaction between theory and empirical work can provide measures of ‘trust’ which are much more meaningful than attitudinal questions. Moreover, they provide a clear picture of the effects of trust and reputation on the functioning of an economy.

Fragmentation, heterogeneity and participation

Another predominant issue in the social capital literature is the idea of participation in groups and voluntary associations as a manifestation of social capital. For instance, Putnam attributed much of the disparity in institutional performance between the north and south of Italy to differences in participation in groups. A higher degree of participation, the argument goes, implies a stronger feeling of community, allowing thus a more cooperative environment.

What can economists add to what sociologists and political scientists have said about group participation? An interesting approach is the modelling of the benefits and costs of the participation decision, which can shed some light on group formation and its determinants. La Ferrara (1999) and, in a subsequent paper, Alesina and La Ferrara (2000) present two microeconomic models of the determinants of group membership. While La Ferrara is interested in the effects of inequality on the participation decision of an individual, Alesina and La Ferrara analyse mainly the effects of ethnical heterogeneity.

The two theoretical models lead to a well-formulated set of relatively complex hypotheses, which are in turn tested empirically. La Ferrara uses data from rural Tanzania, and finds support for her theoretical results, which predict a non trivial pattern of effects of inequality on participation. Alesina and La Ferrara use data from the United States' General Social Survey, and their findings are broadly consistent with the predictions of their model: participation in associations and organisations is significantly lower in more racially and ethnically fragmented localities.

Economic research seems to have contributed to the social capital literature with the microeconomic analysis of participation; but, despite the evidence of a negative effect on participation of ethnic fragmentation, its potential effect on economic well-being is only hypothesised. The original work of Miguel (2000) is a step towards filling that gap. He studies the relationship between ethnic diversity and local primary funding in rural Kenya, where schools rely mainly on parental and communal contributions. With a rich dataset and a careful strategy for empirical identification, he shows that higher levels of local ethnic diversity are related to significantly lower funding and worse school facilities. The provision of public goods, then, is shown to be significantly undermined by the lack of cohesion, and Miguel provides a clear-cut measure of the costs involved.

Economists have provided some clues about group formation and participation, but also about tangible effects of the lack of cohesion on important collective outcomes. What can they say about individual outcomes?

Social capital and individual welfare

The social capital literature has speculated for a long time on the link between an individual's social capital and her own economic well-being. The idea is that through tighter community interaction, an individual has a wider set of opportunities, for instance in the access to informal credit, employment or insurance. For instance, in ‘Getting a job’, the sociologist Granovetter (1995) illustrated the importance of private social networks in finding employment through employee and employer referrals.

The economic research on the issue has been mostly empirical. Narayan and Pritchett (1999) for Tanzania, Grootaert (1999) for Indonesia and Maluccio *et al* (2000) for South Africa present empirical analyses of the influence of different ‘social capital’ variables (at the village and at the household level) on household outcomes. In general, they find a strong correlation between the social capital variable and a household's income.

These results may be interesting *a priori*, but without a proper theoretical framework the empirical hypotheses tested are sometimes too simplistic. Moreover, the question of causality remains unclear: is social capital really the cause of higher incomes? Some of these studies also combine dissimilar aspects of social capital, such as trust, participation and networks, into one single index. By mixing all these ideas, they risk to fall into the social capital's ‘multiplicity of definitions’ trap, which undermined the credibility of the social capital literature.

Economists have provided few examples of theoretical work, which is crucial to discriminate among the various channels connecting social capital with income. There are two notable exceptions. Montgomery (1991) constructed a model (similar in spirit to Granovetter's study) where workers benefit from social networks by means of employee referrals; Glaeser *et al* (2000) have developed a model of an individual's social capital investment decisions. Even though the content of this social capital investment is not specified, and the source of its return is not worked out within the model, this model is a step towards understanding an individual's social capital.

Where do we stand now?

Though social capital was never embraced by economists as the unifying concept of the social sciences, this brief review attempted to show that many of its multiple facets are present in economics today.

This exercise is worthwhile for economics. Carefully constructed models and well thought-out empirical work are successfully overcoming what Solow (2000) called the ‘vague ideas and casual empiricism’ of the previous research on social capital.

There is also a case for multidisciplinary research. Economics is incorporating some ideas from the broad social capital literature. The simplistic, little-by-little approach of economics may be a comparative advantage in investigation of the intricate world of social interactions. The social capital literature, many times criticised for being unclear and ambiguous, may benefit from these stylised insights.

The incorporation of social interactions into economics is rising steadily (Manski (2000) provides an excellent review). Markus Goldstein, in this symposium, provides an account of the work on social networks and development, while Abigail McKnight reviews the current trends on social exclusion. Researchers at STICERD, like Bandiera and Rasul (2001) and Goldstein *et al* (2001), are currently working on projects on social networks in developing countries.

Despite all the criticisms, social capital offers interesting ideas, and it has stimulated new research in economics. It is not the philosopher's stone, at least not in economics but, as Robert Solow put it, there's definitely ‘something to it’. ■

See Appendix on page 35 for references

Guillermo Cruces,
Distributional Analysis
Research Programme

Understanding social networks for development

‘Before discussing some ways in which development economists approach networks, we need to define what we mean by social networks.’

i Introduction

When you need to borrow money for the bus, do you turn to a total stranger? Not likely. You turn to a friend, someone with whom you have a social relationship. This phenomenon is more pronounced in developing countries where formal institutions for capital, labour, insurance and a host of other economic activities are less prevalent. In order to better understand the process of development, and the policy we can make to promote it, we need to better understand the nature of these processes and how they deliver the service or goods they provide.

Before discussing some ways in which development economists approach networks, we need to define what we mean by social networks. Rauch and Hamilton (2001) define economic networks as ‘a group of agents who pursue repeated, enduring exchange relations with one another and, at the same time, lack a legitimate organisational authority to arbitrate and resolve the disputes that may arise during the exchange’ (p.1). This is a somewhat stripped down definition. Chris Udry, in a speech to a conference on African economic development at Oxford, cast a definition of networks in the grey area between individuals on the one hand, and larger units of economic analysis such as the firm or the household on the other. What Udry argues is that individuals maintain a ‘number of different types of social relationships of varying qualities and intensities with a variety of different people’ within and across the firm, household and other units of organisation.

Understanding how these networks work will help us to make better economic development policy. Areas as diverse as credit provision for small and medium size enterprises, infant nutrition and health, and agricultural extension all involve some degree of the actions of individuals affecting one another along lines that are outside traditional economic analysis. When an extension service seeks to introduce a new crop, an understanding of which farmers will share information and how they share this information is critical to the design of targeting. We need a clearer conception of the information network not only to see how the technology will spread, but also who will be excluded and why.

In exciting new ways, economists are beginning to provide insight into these questions. One should note that while this is a new area of analysis in economics, work has been going on in sociology and anthropology on this concept for quite some time. Indeed, the new work in economics on networks interactions draws on (sometimes even explicitly) initial work done in sociology in the late 1960s and early 1970s[i].

The emphasis on the economic study of networks that I describe here draws on the conception of networks as one type of interaction that shapes and is shaped by social interaction[ii]. The focus here is on two main functions of networks that development economists are studying: information and enforcement. These are two of the areas in which the need for network-based analysis is the most pressing. However, before turning to the work economists have done, it is important to discuss the empirical issues involved in measuring network interactions. This article closes with a discussion of future directions for this type of research. Throughout this discussion I will draw on a subset of the recent work in economics, as well as experience from my fieldwork in Ghana (joint with Chris Udry) during 1996-1998.

ii Problems with Measuring Networks

The fundamental problems in applied economic work on networks revolves around how to measure them. Manski (2000) discusses three hypotheses which may explain why members of a group or network act in a particular way. The first hypothesis, endogenous interaction, posits that individual behaviour is shaped by the behaviour of the group as a whole. The second hypothesis, contextual interaction, argues that individual behaviour is shaped by given (exogenous) characteristics of the members of the group. The third hypothesis, correlated effects, states that group behaviour is correlated because group members share characteristics and thus the group itself has no direct effect. The problem with measuring networks is to distinguish among these three hypotheses – particularly between the first two and the last. The distinction between contextual interaction and endogenous interaction is particularly difficult due to a problem Manski terms the ‘reflection problem’. That is, ‘data on outcomes do not reveal whether group behaviour actually affects individual behaviour, or group behaviour is simply the aggregation of individual behaviours’ (p. 128). In the end, as Manski points out, the distinction among these hypotheses is particularly important when we seek to make public policy. Take the example of reducing infant mortality through the provision of education to a subset of mothers in a village. In the presence of endogenous interaction, this knowledge would spread to all members of the targeted women’s groups. The presence of contextual interaction or correlated effects would mean that the impact of the program would be restricted to only the targeted mothers.

Thus, in order to empirically identify network effects we need some insight into the process by which group behaviour affects individual actions. In order to do this, we also need a clear understanding of what the proper group is. Much, if not all, of the applied work to date takes this group as clearly defined and unchanging at the time of the analysis. As I discuss in section iv, one of the extensions of network analysis is to allow for networks to change over time and to explore the factors in their formation and dissolution.

iii Estimating Network Effects in Practice

One of the more promising ways in which network analysis has been used to contribute to development economics is in understanding how information spreads through a particular population. The leading example of this is the analysis of how new technologies spread within communities. In the standard (economic) model of technological adoption, farmers observe others and then update their production decision based on the particular inputs they observe others using. When we started our fieldwork in Ghana, we asked farmers about the specific quantities that others were using. Farmers professed ignorance about this. When we pressed them, the ultimate response was – surprisingly to us – anger. It turned out that this degree of knowledge about others’ farming was taboo – an individual who knew that much could easily be accused of sabotaging another individual’s farm. Further research indicated that farmers shared more general analysis, for example, what fertilizer seemed to work, what the best overall planting method was. This level of discussion absolved farmers of blame for each other’s failures.

This mode of information sharing creates an identifiable network effect – farmers do not move together on average, nor do they rapidly converge on the same identical behaviour. Nonetheless, one can observe a transmission of information (which we captured directly) and an impact on the production of the farmers that a given individual associates with (which we captured indirectly). This general form of network effects has served as the basis for two works on this area by Conley and Udry. Conley and Udry (2001) show that most farmers have only a relative idea of what other farmers are doing – not their explicit production technology. In this earlier, as well as an ongoing, work (Conley and Udry 2000) the authors show that farmers work within a sparse social network in the village, using experimental information provided by their network connections to farm pineapple more profitably.

Agricultural learning is also studied by Bandiera and Rasul (2001) where they study the adoption of a new sunflower seed in Mozambique. Capitalizing on the fact that they observe the initial introduction of this new technology, they show that farmers are more likely to adopt when they know other adopters and that this effect is more pronounced when respondents indicate that they discuss agricultural matters with others. One particular issue raised by the Bandiera and Rasul paper is that there may be conflicting goals within (possibly overlapping) networks. They argue that the need for uncorrelated incomes across individuals in a risk-sharing network provides a disincentive for some members of an agricultural information-sharing network to adopt the new technology.

One problem facing both of these papers is to distinguish the direct effect of the network’s interaction from simple mimicry among its members – a problem similar to that described by Manski (above) in his discussion of the alternate hypotheses of how groups affect individual actions. Conley and Udry show how this could be done, but there is insufficient variation data in their data to support this analysis. Bandiera and Rasul try to rule this out through the identification of focal farmers and show how adoption is not necessarily correlated with the behaviour of the focal farmer – thus they argue that the most likely person to be mimicked is not. In the end, further work needs to be done to distinguish among the network behaviour mechanisms discussed by Manski.

Work on information has many other applications. One of the most logical extensions is the labour market – many of us rely on friends for information when we start a job search. Recent work by Kaivan Munshi (2001) at the University of Pennsylvania shows how Mexican migrants to the United States use other (long-term) migrants to secure information and aid in their job search.

In addition to the case of information, we might expect to see strong network effects in enforcement. Members of a network may have informal enforcement mechanisms at their disposal that (combined with information) could provide for more efficient ways to conduct transactions. Recent work on this has focused on the importance of ethnic ties in trade credit relations (Fisman (2001) and Fafchamps (2000)). Fafchamps provides evidence that informal lending in parts of Africa shows strong correlation with ethnic ties, whereas formal lending does not. However, he is not able to rule out a number of alternate explanations for these correlations, such as various forms of discrimination. Fisman attempts to circumvent this problem through the use of data on suppliers, as well as recipients. He finds that firms are around twice as likely to receive trade credit from suppliers of the same ethnicity, a pattern he attributes to the enforcement capacity of these networks.

iv New Directions in Economic Network Research

One of the fundamental problems that economists face as they engage in network analysis is identifying what the relevant network may be. In some cases this may be obtained from a careful reading of the anthropological literature. In others, detailed fieldwork may be required as the network surrounding a particular concern (say informal insurance) may vary across individuals and situations. One thing to note is the preponderance in the economics literature of analysis along ethnic network lines (which extends beyond the cases of credit provision discussed above). While this category may provide a good approximation of the appropriate networks in some cases, in other cases the use of this unit may provide a false positive result as it masks what is really going on. For example, when I think of my Ghanaian friends who have emigrated to the US and the UK, I see the breakdown of ethnic divisions. Instead, networks seem to form along the lines of 'a friend of a friend' type connection rather than by ethnic groups. Thus, while prior work is important, an accurate analysis of network effects will pay careful attention to context.

Although we are making progress towards understanding how social networks shape economic activities, economists have done less work on how activities shape the networks or, more generally, how the networks form. The use of ethnicity is one example of this, but papers such as those by Conley and Udry, and Bandiera and Rasul, also take the network as a given, fixed, set of people. This reliance on pre-existing groups does not explain how network formation itself may have economic purposes. As Belinga and Guyer argue in their discussion of wealth in people: 'the idea that rights in people could be the basis of accumulation…resonates strongly across the theoretical spectrum of African studies, to the extent that the concept is now used in a very general way as a shorthand for many syndromes of inter-personal dependency and social network building that clearly involve strategizing, investing and otherwise cultivating inter-personal ties at the expense of personal wealth in material terms'.

Whilst work in applied economic analysis has yet to adequately address this question, some work has been forthcoming in economic theory (Bala and Goyal (2000) and Jackson and Wolinsky (1996). Both of these papers go part of the way to formalizing what Belinga and Guyer discuss – the idea that individuals may trade off resources to develop network ties with no clear (immediate) productive gain. As we take this theory to individual contexts, we will have to combine exogenous obligations (such as the extended family or lineage) and resultant networks with those that individuals choose to participate in and why the context in which an individual lives may constrain her in which network ties she develops.

In addition to considering the formation of networks themselves, there are other features that we as economists can add to our models in order to make them more accurate and thus more powerful. Drawing on a project that brought together economists and sociologists, Rauch and Hamilton discuss three main directions developed by sociologists that economists may be able to use. The first is the fact that alliances in networks are dynamic in nature and that power tends to concentrate in certain nodes of a given network. Indeed, in our fieldwork in Ghana, where we were trying to capture how farmers learned about new technology, we saw certain farmers to whom many people in the village turned to for advice. These focal farmers, noted for their hard work and success, served as a central resource and no doubt brokered a fair amount of the information passing from farmer to farmer. A more advanced model would need to account for not only the static existence of these farmers, but how they come to be realized as one of the central informational resources and how they are eventually replaced. Rauch and Hamilton also highlight one of Granovetter's contributions: not all ties are equal. For example, ties of differing strength are going to be able to sustain different demands – if I ask a network member for assistance in the face of a bad crop that might be alright, but if that person has to get part of this assistance from someone else (if my crops totally fail), my tie with them and their tie with others will have to be much stronger. Existing models do not allow for this feature and a more effective discussion of this would have to take into account the dynamic nature of network formation. The third direction that Rauch and Hamilton discuss is how "networks can be 'constitutive' in the sense that they shape agents' identities and thus their preferences, as well as their action capacities or rule".

These new directions in theoretical approaches need to be accompanied by application of network analysis to new areas of activities. One example of this is risk-sharing – the prevalent result in the development economic literature to date is that informal insurance is fairly effective, but not complete. This could suggest that certain types of individuals are excluded from these informal insurance networks. Work on this is currently being undertaken by researchers at Oxford, Leuven, STICERD and the University of California, Berkeley. Informal local level credit markets, labour markets, and land markets are other areas where we could benefit from applying this level of analysis. ■

See Appendix on page 35 for references

Markus Goldstein, Economic Organisation and Public Policy Programme

[i] A new volume edited by Rauch and Casella (2001) provides an interesting collaboration of sociologists and economists on how to approach network analysis from the two disciplines, as well as a host of interesting empirical studies.

[ii] There are a variety of other approaches within economics that discusses the way other types of social interaction shape economic activities. For example, there is a large literature on social capital and there is also work in game theory that discusses the role that people's treatment of each other shapes their behaviour (see for example the recent work by Matthew Rabin that builds on prior work by Geanakopolous, Pearce, and Stachetti).

Economics and social exclusion

The introduction of the concept of social exclusion into mainstream social science debate and within policy circles is now well-documented (Room, 1995; Jordan, 1996; R. Levitas, 1996; Burchardt, Le Grand and Piachaud, forthcoming, among others). The general consensus seems to be that the term social exclusion was originally coined in France, referring to individuals who fell outside the social insurance system and therefore slipped through the social security net. The term social exclusion has since entered common parlance in the media and in policy debate and tends to be used in an inconsistent fashion as a catch-all phrase for multiple deprivation. This short review looks at definitions of social exclusion and considers the role of economics from a theoretical perspective and through its empirical application.

The identification of a group of individuals who for one reason or another is unable to benefit from the social infrastructure of a society is a common theme which runs through all prominent definitions of social exclusion. Social exclusion, in essence, is about (multiple) deprivation and the inability to participate in contemporary society. Non-participation is generally considered across a number of dimensions. Burchardt, Le Grand and Piachaud (1999) stress four key dimensions: income or consumption; productive or socially valued activity; political engagement or involvement in collective decision making; and social interaction. They argue that non-participation in any of these dimensions can be interpreted as indicators of social exclusion. As many commentators have noted, social exclusion is linked to notions of poverty and inequality but is different from both in a number of important ways. It is possible for an individual to be socially excluded in at least one dimension but non-poor or for a society to be characterised by equality but have a group of socially excluded citizens. However, greater inequality is likely to lead to the presence of social exclusion among the lowest income groups as they become less able to participate fully in society (i.e. inequality is not necessary but may be sufficient, depending on the shape of the distribution). Nonetheless, the effect of income inequality can be mitigated if the State intervenes and redistributes goods and services in favour of the most disadvantaged (although this may not be equivalent to greater equality in income and the freedom to spend this income as they wish).

'The emergence of the use of the term social exclusion can be seen as a backlash against the focus on economic circumstances to the exclusion of other social dimensions.'

‘Does the relative absence of social exclusion in the economics literature represent the reluctance of economists to engage in the analysis of wider social phenomena and thereby result in a limited understanding of society?’

From an academic point of view the nature of social exclusion as a multi-dimensional concept that includes economic, social, political and cultural dimensions, has resulted in blurring of disciplinary boundaries and has undoubtedly contributed to the lack of consensus on an agreed definition. In addition, social exclusion lacks a clear conceptual framework or a strong theoretical basis. Different disciplines have made use of the concept of social exclusion but, not surprisingly, emphasised aspects most related to their ‘territory’. While the multi-disciplinary nature of this topic can be seen as a real strength it can also be seen as a great weakness. There appears to be no one unifying feature which allows us to identify who is and who is not socially excluded, or how much social exclusion exists within a society as a whole. For an individual to suffer from multiple deprivation must they suffer from all forms of deprivation included in the definition? At least two? At any point in time or over a ‘significant’ period of time? Perhaps the key word is *exclusion* bringing with it the negative connotations of ‘being left out’, ‘kept out’, ‘prevented from joining in’. Some writers have concerned themselves with whether or not individuals want to be included (i.e. whether non-participation is voluntary or involuntary) and the difficulty of assessing choices which may be constrained (Barry, 2001).

It is no coincidence that the interest in the notion of social exclusion among social scientists and policy makers arose during a period of rising poverty and inequality. But it was perhaps a frustration with the emphasis on financial disadvantage (absolute and relative), masking the complexity of difficulties faced by the disadvantaged, that led social scientists to explore alternatives. The emergence of the use of the term social exclusion can be seen as a backlash against the focus on economic circumstances to the exclusion of other social dimensions and we might therefore expect that economists would have only a small part to play.

Social exclusion has not entered mainstream economics with any significant force. It is not that economists’ work has been totally absent from the social exclusion literature. Indeed, important contributions to the social exclusion debate have been made by economists (see the work of Sen, 2000 or Atkinson, 1998). The lack of an agreed definition and any formal theory has meant that the take-up of the concept has been largely limited to empirical studies, which within a ‘theorocentric’ discipline such as economics has meant that it has remained peripheral. Economic models are structural in nature and built around hypothesised causal mechanisms. The lack of a clearly identified conceptual framework behind the notion of social exclusion limits its value within economics. A useful analogy can be made with social class, which like social exclusion is a multi-dimensional concept but has a well defined theoretical basis and has been shown to provide important explanatory power in understanding differences in individual behaviour and life chances. While social class comprises a number of separable components, empirical studies show that social class explains more than the sum of its components.

Some economists have embraced the notion of social exclusion but continued to concentrate on economic disadvantage – poverty, unemployment, low-pay – and inequality; i.e. working within their disciplinary boundary in a similar vein to other social scientists. Economic studies on all these issues have advanced with the advent of improved datasets and econometric techniques to include important features of disadvantage emphasised in the concept of social exclusion (relativity, agency, dynamics); to include more sophisticated dynamic analysis and the interest in long-run as well as short-run circumstances. These advances have improved our understanding of different aspects of social exclusion even if the topics have been analysed in isolation. The following examples illustrate areas covered in economics which directly or indirectly overlap with the analysis of social exclusion. These include: the concentration of unemployment among a minority of working age individuals and/or households, the increased detachment of individuals from the labour market as the duration of unemployment increases, persistent poverty against transient poverty and the re-occurrence of poverty over time, the identification of high-risk groups and the persistence in low-paid jobs alongside the precarity of many of these jobs characterised by the low-pay/no-pay cycle.

Any empirical application of social exclusion requires the classification of individuals in terms of who is included and who is excluded or the degree of exclusion. One definition of social exclusion emphasises the collective action of groups acting against others; the ‘powerful’ excluding the ‘powerless’ (Jordan, 1996; Byrne, 1999). Caruggi and D’Ambrosio (2001) refer to this as the monopoly paradigm. The analysis of the formation and collective action of groups which work to protect the interest of ‘insiders’ to the detriment of ‘outsiders’ is well established in economics. There is a large literature on trade unions and insider/outsider models of employment (for example Layard, Nickell and Jackman, 1991). Economists have studied the formation of coalitions (Yi, 1997) and customs unions (Yi, 1996). Economic models of discrimination, such as Becker’s influential, if controversial, work on gender and race discrimination in the labour market (Becker, 1971), abound. There is also a growing economics literature on social capital and social networks (covered in the companion reviews in this symposium). Some, if not all, of the techniques used in these related topics could be applied to the analysis of social exclusion but, to date, there are few examples in the literature.

An example on the theoretical side is Akerlof and Kranton’s economic model of identity (Akerlof and Kranton, 2000). The authors incorporate identity (a person’s sense of self) into a utility function and demonstrate how non-pecuniary motivations for behaviour affect economic outcomes. They focus on how identity based on social difference, in particular how a person’s sense of self is associated with different social categories, can be used to understand gender discrimination, the economics of poverty and social exclusion, and household division of labour.

Caruggi and D’Ambrosio (2001) make an important empirical contribution to the measurement of social exclusion. Their conceptualisation of social exclusion is in terms of the existence of social distance between population groups. They measure trends in social exclusion in Italy between 1993 and 1995 using an index constructed to capture eight domains (consumption, economic status, labour market, housing conditions, neighbourhood, social integration, educational level and health status). These indicators are measured in terms of an objective measure using means, as well as people’s perception of their role and situation in society and their confidence/satisfaction with their life. This allows them to assess aggregate trends in social exclusion and identify the main driving factors.

Looking beyond individuals, the concept of social exclusion has been extended to describe communities (Glennerster *et al*, 1999; Brennan, Rhodes and Tyler, 2000; Power and Lupton, forthcoming). The concentration of poor and deprived individuals in small geographical areas has, it is argued, led to the isolation of communities. This concentration leads to additional problems associated with poor quality public services (including education, transport and health), financial services, crime, limited employment opportunities, etc. The ‘social norms’ which build up within these communities can be far from mainstream societal norms and can be detrimental to the inhabitants, particularly children. Peer group effects which influence social and economic behaviour can act in a negative way and create sub-cultures (the culture of crime, benefit dependency, truancy, drug taking, under-achievement are often cited). In this instance the concentration effect exacerbates individual level deprivation and creates a cycle of deprivation and disadvantage which can be difficult to break out of. This again is a field in which economists have contributed. Their most important contribution has been in terms of the statistical identification of ‘neighbourhood effects’ (Katz, Kling and Liebman, 2001; Burgess, Gardiner and Propper, 2001). Economists’ statistical toolkit places them in a strong position to identify these effects – although the results so far are inconclusive the debate continues.

Of course economists do not have a monopoly on the analysis of social phenomena but their near absence from the literature on social exclusion may be cause for concern. Could our understanding of social exclusion be enhanced by the contribution of economists? Does the relative absence of social exclusion in the economics literature represent the reluctance of economists to engage in the analysis of wider social phenomena and thereby result in a limited understanding of society? Or, could the lack of a theoretical base explain both the lack of consensus on the meaning of social exclusion and the reluctance of economists to get involved? ■

See Appendix on page 35 for references

Abigail McKnight,
Centre for Analysis
of Social Exclusion

Thoughts on reaching a milestone

'I became convinced in looking at the evidence that market type incentives could be incorporated into equity-based funding of health care.'

Howard Glennerster took Philosophy, Politics and Economics at Oxford, specialising in economics. He graduated in 1959 and entered the research department of the Labour Party. He came to LSE to work with Claus Moser – then Professor of Social Statistics – in 1964. In 1968 he joined the teaching staff of LSE and became Professor of Social Administration in 1984. He was Chairman of STICERD from 1994 to 2000. He has been a vocal contributor to debates on the funding of health care and education throughout this period and is author of several classics, notably *Paying for Welfare* which he is now re-writing for the fourth time. He retired in 2001.

Someone was interviewing me recently and asked what my specialist area of work was. I hesitated. A rather wide ambit for a sound bite, I thought. A colleague stepped in. 'Well, he started off in the economics of education and has cycled through the economics of health, pensions, long-term care and public spending control. Now he is back with education', he said. 'That's about it' I said ruefully.

I suppose I might have said, if I thought more quickly, 'The political economy of social policy'. That would not have conveyed much to a journalist. Nor, given the way people like Tim Besley approach the subject now, would it have been accurate. My approach, reflecting my initial training at Oxford in PPE over forty years ago, has been much more a mixture of public finance, microeconomics, institutional economics and a strong dash of politics. I began my career working in the Research Department of the Labour Party and still tend to ask the question of any piece of analysis 'Well, and how does that help us decide what to do?'

In those days, 1959!, few economists were interested in social policy. You may say few are still. But the analysis of social policy issues and income distribution has now moved into a much more important position in economics. Moreover, economics is now probably the core discipline involved in generating and evaluating policy options. A major US conference on poverty, in the 1960s, was dominated by sociologists and social workers. In Madison, Wisconsin, last year, a similar conference was dominated by economists.

In many ways, the issues of equity and the limits to income redistribution, limits to the market and to the state, remain much as they were when I began. I have just finished editing a collection of Richard Titmuss' major papers for publication next year. Titmuss was my mentor who recruited me to the School. The things he was writing about – fiscal welfare and the implicit allocation of welfare resources through the tax system, for example, or limits to health markets – came to be much more rigorously theorised by economists in the coming decades but remain remarkably constant.

But if some concerns have remained the same for me, others have moved on. A child of the Second World War, I was a fairly uncritical believer in the capacity of public sector bodies to deliver services where market failures existed or where externalities were important. It was only later when I began to study the workings of services like health, long-term care and education at first hand that my views began to change. In depth institutional studies were reinforced by personal experience. With a wife, a father and mother and a son all seriously ill simultaneously one's insights are somewhat sharpened!

Field studies in economics went out of fashion in the 1940s. Yet in depth interviews and on the spot observations of services as they are delivered certainly helped me to generate some more questioning hypotheses to test. At one point I studied the working of the Conservative reforms to the UK National Health Service which gave budgets to local family doctors and let them pay for the services needed by their own patients with whatever provider they thought could deliver the best service. I remember observing some local GPs being unable to get their elderly patients with routine needs dealt with by a hospital with outstanding facilities. In the past they would simply have been unable to do anything about it. Their health authority told them that was the hospital for their patients and that was it.

'Why do you do so few standard hip operations given the facilities here?' the consultants in this hospital were asked. 'They are a bore', the reply came eventually. 'We do a few to keep the health authority happy but we did not come into medicine in this hospital to do boring things'. The very same consultants spent their Saturdays doing exactly those boring operations for money in the private wing of the same hospital. The GPs switched their contract to a busting group of young doctors who cleared their waiting list. All terribly obvious on one level but it got me testing how far this story could hold up more generally. My work on GP Fundholding got referenced all over the world but it sprang, in the end, from those kinds of conversations. I became convinced in looking at the evidence that market type incentives could be incorporated into equity-based funding of health care.

On a very different level and topic my colleague in STICERD, Professor John Sutton, uses the same technique. 'Very few economists, I find,', he said recently in a meeting I was chairing, 'actually go to talk to people in companies'. Anne Power and colleagues in CASE are also guilty of this very odd practice when they go to talk to people in poor areas and families. Perhaps we could do with more of it!

In a recent paper for the British Association for the Advancement of Science Economics Section I have reviewed the changes in the incentive structures that have been applied to British schools. They are very significant. A National Curriculum has been introduced with national tests of performance for each child at regular intervals. Schools have to compete for pupils who carry funds with them. Budgets have been devolved down to the school level. Children in primary schools have to be taught reading and literacy and numeracy for two hours a day in ways recommended by best practice research. In the past, schools could do pretty much as they wanted at this level.

The results have been astonishing. For thirty years the average level of attainment of school children in maths barely changed, indeed fell slightly. Between 1995 and 2000 – when the full range of these policies came into force – levels of achievement rose sharply. The proportion of pupils gaining expected levels of competence in maths in 1995 was 45 per cent. In 2000 it was 72 per cent. Moreover, the gap between the top and the bottom schools closed. The schools with most poor children improved more than the average. In short incentive structures matter and if they are perverse it is the poorest who tend to suffer most.

It is still true that the incentives for the poorest schools are not good enough. Ruth Lupton's work in CASE is showing that.

There is a lot more for economists with a good eye for institutional detail to do. ■

Howard Glennerster,
(retired this year as Chairman of STICERD and Professor of Social Policy)

Seeing how the other half live: a 'summer placement' at the Department for Work and Pensions

Many researchers concerned with issues of social policy have close contact with various arms of government and frequently sit on committees and attend meetings, seminars and conferences with civil service colleagues. But this is always the view of an outsider. This year the Treasury launched a scheme to 'promote understanding' between academic researchers and researchers in the civil service, by offering academics the opportunity to spend two months working in a Department. I applied to the Department for Education and Employment, with a proposal to work on job retention for disabled people – an issue around which policy is currently being developed. By the time I arrived at the Department, a general election had been held and the civil service was in the grip of a major reorganisation. The unit to which I was attached, equal opportunities research, was split four ways: to the Cabinet Office, Department for Trade and Industry, Department for Education and Skills and the newly-formed Department for Work and Pensions. Although in some ways the timing was unfortunate, it also prompted the people I was working alongside to be reflective about the joys and perils of being a civil servant. The main advantage they identified was the knowledge that (nearly) everything one wrote would be read by someone making policy decisions; the main disadvantage was that opportunities to pursue a line of research for any reasonable length of time were limited. Interestingly, the researchers I spoke to regarded the real influence as lying outside government – among the academics who are commissioned to do the major part of government research.

I spent a thoroughly enjoyable two months eavesdropping on conversations, sitting in on meetings, and browsing the intranet (policy developments are not always presented in the same way to the outside world as they are internally!), and I would recommend the scheme to anyone. It was also salutary to be reminded of the good things about academia that it is easy to take for granted: the degree of autonomy we enjoy and, most importantly, free tea! ■

Tania Burchardt, Centre for Analysis of Social Exclusion

Does growth trickle down to poorest neighbourhoods?

'...a need to re-evaluate assumptions about small areas and their participation in national economic growth.'

One argument put forward by policy makers on social exclusion in England is that there are neighbourhoods that are cut off from the benefits of economic growth. My recent research has suggested that this is not the case. Together with colleagues at Oxford University, I have analysed individual data on claimants of social assistance benefits in 1995 and 2000. Because these data are post-coded we can establish where claimants live and identify small areas where there are high concentrations of claimants – which tend to be urban areas of high-density social housing. We have established that even the worst small areas have improved because they have fewer people claiming social assistance and lower overall rates of claiming in 2000. The main reason for this is a decline in unemployed claimants. Lone parents have also declined – and more quickly so between 1998 and 2000. On the other hand there has been an increase in the number of people claiming as disabled or long-term sick and over half of this increase is due to claimants in their fifties. This trend for increases of claim rate for older working age people is stronger in the Northern regions of England and in areas characterised by mining, manufacturing and industry. The trend is also noticeably higher in small areas that do not have the worst overall claim rates for social assistance – pointing to a need to re-evaluate assumptions about small areas and their participation in national economic growth. ■

See Appendix on page 36 for references

Martin Evans, Centre for Analysis of Social Exclusion

Why rising tides don't lift all boats: an explanation of the relationship between poverty and unemployment in Britain

President John F Kennedy coined the phrase 'a rising tide lifts all boats' to capture the idea that everyone benefits from a booming economy, even the poorest members of society. Simon Burgess, Karen Gardiner and Carol Propper examine whether this is in fact the case in 1990s Britain, by exploring the extent to which total poverty in the country responds to changes in the unemployment rate (an indicator of the economic cycle).

They construct an algebraic framework and apply it to British data, identifying three key determinants of the links between poverty and unemployment:

■ the 'poverty penalty of unemployment' – on average an unemployed individual who finds a job experiences about a 20 percentage point reduction in their chances of falling into poverty. Hence, for a 10 percentage point fall in unemployment this translates into poverty dropping by 2 percentage points.

■ how the poverty risk of those in work is affected by changes in the unemployment rate – even the working population are less likely to experience poverty in times of low unemployment, because other family members are able to find work or they themselves get promoted or benefit from wage rises. For a 10 percentage point fall in unemployment, the risk that those in work may become poor goes down by between 1 and 8 percentage points (depending on the definitions one uses).

■ how the 'poverty penalty of unemployment' varies over the economic cycle – given that workers are less likely to be poor in times of low unemployment, if they then lose their job the extra 'poverty penalty' is actually greater than it would be in less prosperous times. This determinant therefore dampens the link between poverty and unemployment so that for a 10 percentage point fall in unemployment, there is an offsetting increase in the poverty rate of about 1 percentage point.

When these three determinants are combined, the overall picture for 1990s Britain is that a 10 percentage point drop in the unemployment rate translates into a decrease in the poverty rate of somewhere between 2 and 9 percentage points. ■

See Appendix on page 36 for references

Karen Gardiner, Centre for Analysis of Social Exclusion

Informal labour markets and social safety nets during transition: the case of Georgia

The disintegration of the Soviet Union, in the late 1980s, resulted in an outstanding collapse in output in all of the Newly Independent States, and particularly in Georgia where by the mid-1990s GDP had fallen to 20% of its pre-transition level. However, contrary to expectations, the collapse in output has not been accompanied by a corresponding increase in open unemployment. Why?

Sabine Bernabe examines the reasons behind this apparent failure of the labour market and finds that much of it can be explained by an increase in informal activity. On the one hand, instead of laying-off employees, enterprises are found to adjust to the collapse in demand by reducing real wages, delaying payments and using unpaid leave, whilst employees seek supplementary income through informal activities to 'make ends meet'. On the other, there has been a large shift from paid-employment into so-called 'self-employment', which is found to be entirely limited to small-scale informal activities such as subsistence agriculture and petty trade. Her research goes on to explore *how*, in the absence of formal work opportunities and a functioning social security system, *these informal activities are providing a social safety net during the transition period.* ■

See Appendix on page 36 for references

'...there has been a large shift from paid-employment into so-called self-employment.'

Sabine Bernabe, Distributional Analysis Research Programme

The roles of schooling and educational qualifications in the emergence of adult social exclusion

In CASEpaper 43, John Hobcraft explored the roles of schooling (as measured by test scores, frequent absences from school, and father's and mother's interest in schooling) and of educational qualifications in determining adult disadvantage. The indicators of adult disadvantage included low social class, experience of unemployment, social housing, receipt of benefits, low income, incipient depression, early parenthood, being out of employment or education, lack of a telephone in the household, and current cigarette smoking. For women, lone motherhood and extra-marital births were also considered. In addition, a wide range of other parental and childhood characteristics were considered: parental background, including childhood poverty, father's social class, housing tenure, education, and experience of family disruption; the child's behaviour attributes, and contact with the police by age 16.

Two dominant patterns emerge from the examination of the wide range of outcomes considered.

■ Firstly, educational qualifications show a clear and strong relationship to every single adult measure of disadvantage at ages 23 and 33 (both for men and women) and this is generally stronger at age 33 than at age 23. This strong relationship emerges net of controls for the wide range of childhood factors, especially measures of parental interest in education, results of educational test scores, and indications of frequent school absences.

■ Secondly, the childhood precursor that most frequently remains a clear predictor of negative adult outcomes is childhood poverty.

A number of other important findings emerge:

■ Mother's interest in schooling is more salient for women, whilst father's interest matters more for men;

■ Low parental interest in schooling, frequent absence from school, and low educational test scores are all quite influential on subsequent disadvantage, even net of qualification levels;

■ Early contact with the police is a better indicator of anti-social behaviour than frequent absences from school in relation to adult outcomes for men, but absences are more influential for women.

Specific continuities in exclusion also emerge:

■ The father being in Social Classes IV or V remains a clear predictor of male survey members also being in these Classes at ages 23 and 33, net of all the other factors considered;

■ Growing up in social housing shows a similar specific legacy of being in social housing for both men and women at ages 23 and 33;

■ Childhood behaviour indicators most specifically relate to adult malaise. ■

See Appendix on page 36 for references

John Hobcraft, Centre for Analysis of Social Exclusion

Economic evaluation in social welfare: developing the infrastructure

Economic evaluation is important in all areas of social welfare, yet little of it goes on outside health care and related fields. Tom Sefton is the principal researcher on this two-year project, funded by the Joseph Rowntree Foundation, which is being undertaken jointly with the PSSRU at LSE. The aim is to promote better understanding and use of economic evaluation across the social welfare field.

The project consists of: a selective review of the literature on evaluation; a review of published economic evaluations in different areas of social welfare; four case study evaluations in the areas of community development, youth homelessness, foster care, and fuel poverty; a series of one-day workshops; and the development of an electronic network of researchers and practitioners with an interest in the field.

The initial research identified the key issues faced by those attempting to evaluate social welfare programmes, many of which were confronted within the case studies. These interventions are typically heterogeneous, flexible and developmental, and their outcomes are often hard to define and even harder to measure. In addition, resources for evaluation are often limited and research traditions are not always favourable towards economists.

The experimental or modelling approaches favoured by economists and used extensively in the health care field are much harder to apply under these more complex circumstances and may need to be modified or used alongside other approaches, such as qualitative analysis. In some cases, rigorous economic evaluation may not be achievable or may not be appropriate, at least in the short-run. Economists can also learn from alternative perspectives on evaluation, which seek to address a much broader set of evaluation questions, including a greater emphasis on understanding how, why and for whom programmes work. ■

See Appendix on page 36 for references

Tom Sefton, Centre for Analysis of Social Exclusion

V-lab

V-Lab – the 'Virtual Laboratory' – is the engine that drives a series of research projects within the Distributional Analysis Research Programme. V-Lab is an Internet tool for setting up questionnaire experiments through a Web server, facilitating remote coordination by the research team in Europe and in Israel. The purpose of the questionnaires is to identify people's attitudes towards risk and uncertainty by using attitudinal questions in hypothetical settings. Work with V-Lab involves international collaboration with researchers from Belgium, Germany, Israel and Sweden.

The initial development was funded by the European Science Foundation and focused on perceptions of equity in income distribution. This year the Centre for Analysis of Risk and Regulation has funded new experiments with V-Lab that focus on perceptions of risk.

You can take a look at the site and try V-Lab yourself at the following address: http://darp.lse.ac.uk/subjective.html ■

See Appendix on page 36 for references

Frank Cowell and Guillermo Cruces, Distributional Analysis Research Programme

The evolution of small loss-making firms

'What happens to all the small loss-making firms over time?' The starting point of Thomas Buettner's research is a striking empirical observation about the joint distribution of profits and size of firms in high R&D and low R&D industries. There are very many small unprofitable firms in high R&D industries, whereas there are many fewer in low R&D industries. He also finds that small loss-making firms in high R&D industries have lower exit probabilities, but also lower probabilities to become profitable than their counterparts in low R&D industries. So how can these firms not only make higher losses, but also survive longer in a loss-making state?

The first stylised fact – that high R&D firms are willing to face higher losses before they decide to exit – can be captured by an option value idea: high R&D firms have a higher probability of making a substantial innovation and becoming very profitable in the future, and are hence more willing to face very high losses initially. A simple stochastic Markovian model can capture this idea. However, the simplest model cannot reproduce the second observation that high R&D firms also stay longer in a loss making state. Individual firm histories are important explanatory factors to predict the future development of firms. How to adequately capture the dynamics of these firms is the focus of Thomas Buettner's current research. ■

Thomas Buettner, Economics of Industry Research Group

Welfare concerns in Central and South Asia

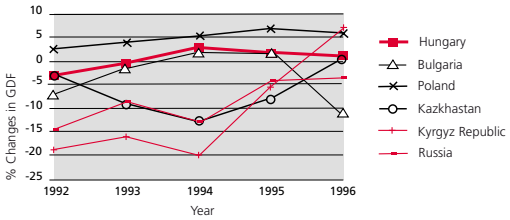
Ceema Namazie's recent research covers aspects of welfare, in mainly rural economies. Her research includes the study of welfare and labour market issues in Central Asian economies in the process of transition to a market economy, in particular in the Kyrgyz Republic and Tajikistan. This includes examining monetary and non-monetary proxies of welfare, labour adjustment strategies and the effect of informal activities on labour supply in the formal and informal sector. Other areas of her research include poverty alleviation strategies in South Asia, such as the effectiveness of user groups in natural resource management projects in India.

One aspect of Ceema's research examines why in the early 1990s, the FSU economies were characterized by large falls in GDP and yet only small changes to already low unemployment, with unemployment not increasing till the late 1990s. This differed from the experience of countries in Central and Eastern Europe, which experienced modest falls in GDP but larger increases in unemployment, (see Figures opposite). Ceema shows that given the institutional features of the labour market, which were part of the Soviet system, it was in the enterprise's interest to maintain its work force in the early period of the transition process and adjust other factors, such as intensity of worker and current wage costs. Firms were in receipt of subsidies for the provision of social benefits through the enterprise and had access to additional finances allowing them to continue non-profit maximizing behaviour. By varying worker intensity (reducing hours) and delaying costs (wage arrears) employers were initially able to maintain their present employment levels.

As the transition to a market economy evolved, State subsidies to the enterprise fell and firms eventually had to cut employment levels. A model of the employer's adjustment strategy explains why these occurrences form a rational response to the changing environment. Quantitative analysis using Kyrgyz data for 1993 and 1996 provides evidence of changing economic behaviour in agents over this period. ■

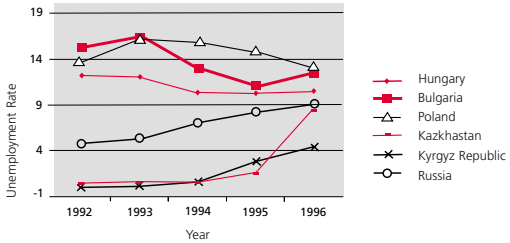
See Appendix on page 36 for references

Changes in GDP in Selected Regions of Central and Eastern Europe and the Former Soviet Union



Note: C and E Europe – Bulgaria, Hungary, Poland; FSU – Kazkhastan, Kyrgyz Republic, Russia
Source: Transition Report 1998, EBRD based on National Statistical Data

Unemployment Rates in Selected Regions of Central and Eastern Europe and the Former Soviet Union



Note: C and E Europe – Bulgaria, Hungary, Poland; FSU – Kazkhastan, Kyrgyz Republic, Russia
Source: Transition Report 1998, EBRD based on National Statistical Data

Ceema Namazie,
Distributional Analysis
Research Programme

Enforcing intellectual property rights

Patenting activity, and patent litigation, in the U.S. have increased rapidly over the last ten years. Part of this increase has been associated with extension of patent rights to new areas, such as computer software and biotechnology, but patenting also continues to be active in traditional high-tech sectors such as electronics. This has raised concerns about the cost of enforcing patent rights (reducing the incentive for R&D) and the possibility that it may become difficult to conduct R&D without infringing. In a joint research project, Professor Jean Lanjouw (Yale University and Brookings Institution) and I are studying the enforcement of patent rights in the U.S. over the past twenty years. We have constructed a comprehensive data set from the court system on all patents litigated in the U.S., together with detailed information about each patent from the Patent Office, and information about the patent owners. We study the empirical determinants of the likelihood of a patent being involved in a suit, the likelihood that the suit is settled without trial, and trial outcomes for disputes that reach that stage.

In the first paper from this project ('Patent Litigation: A Window on Competition', *RAND Journal of Economics*, vol. 32, no. 1, 2001, 129-151), we show that observable characteristics of patents and their owners – including patent value, technology field, and nationality – strongly affect exposure to litigation. In a second paper ('Enforcing Intellectual Property Rights', forthcoming as National Bureau of Economic Research and Centre for Economic Policy Research working papers, and as an Economics of Industry Programme Discussion Paper, 2001), we show that larger firms have advantages in enforcing their patent rights, because they tend to have larger patent portfolios and other areas of interaction that facilitate settlement of patent disputes without filing suits. Yet once a patent suit is filed, small and large firms look very similar in how they resolve suits. These findings mean that small firms are at an overall disadvantage in enforcing their intellectual property rights. But the fact that we can quantify these effects on litigation exposure holds out the prospect for developing market-based patent litigation insurance. The next stage of the research will study the feasibility, and the strategic effects, of litigation insurance.

This research has been financed by grants from STICERD, the Nuffield Foundation, and the U.S. National Academy of Sciences. ■

Mark Schankerman, Economics of Industry Research Group

Towards a more unified world economy

Current concerns about globalisation have led to renewed interest in a long-neglected subject: the economics of industrial development. This is now being attacked from two angles. The first angle arises from the industrial organisation field and is concerned with the way in which competition in capability building at the global level means that only a limited number of firms whose capability is sufficiently high will enjoy any sales in the global market. The second angle comes from the geography and trade literature (international economics): this argues that firms enjoy positive externalities from high capability firms located in their vicinity. If these externalities are strong enough, the normal workings of a market economy will cause all the high capability firms to be clustered in a limited geographical region. Taken together, these two ideas suggest a rather pessimistic scenario about the possibility of our converging towards a more unified world economy.

The main focus of research now lies both in measuring these externalities and in studying the strategies that can be used by governments and firms to bypass the associated disadvantages. One of the new lines of research now beginning in the Economics of Industry Group involves the study of international supply chains, which constitute one of the most important means of escape for developing countries in their efforts to catch up with the high-wage economies. ■

See Appendix on page 36 for references

John Sutton, Economics of Industry Programme

In search of theories that work...

‘In my own area of Industrial Organisation, I think it is now clear that it is possible to formulate clearly enunciated theories that generate sharp testable predictions that are vindicated empirically.’

John Sutton, FBA, graduated in Physics and worked in the engineering industry before studying economics. He has taught since 1977 at LSE, where he is the Sir John Hicks Professor of Economics. His latest (and shortest) book is *Marshall’s Tendencies: What Can Economists Know?* (MIT Press, 2000). The opinions expressed in what follows are the author’s and not those of STICERD; however, similar views have been floating around LSE since the 1960s, and refuse to die.

I used to play a party game during the early 1980s, at post-seminar dinners, by asking my fellow economists to name any substantive (i.e. not theoretical) question or issue which had been settled as a result of new research findings during the preceding five years. The result was usually an initial surge of non-answers (as people told me about some ‘new theoretical insight’ or referred me to some ‘fine empirical paper’ or other) followed by an uneasy silence after I had repeated the terms of my question. Finally, I would be ruled out of order, on the grounds that my question was unreasonable, misplaced or wrong-headed. (After a few experiences of this kind, I stopped raising such questions, and became a slightly less annoying colleague.)

Yet the same question, asked of a group of physicists, chemists or biologists, would elicit a respectable clutch of proposed candidates. So is my question unfair? Well, it’s true that economic knowledge may accumulate very slowly, so that key steps may not stand out clearly. Current views in international macroeconomics, for example, emerged gradually during the ‘70s and ‘80s. What useful knowledge we have in this area can be summed up as a description of a few basic mechanisms. For example, the current conventional wisdom on the link between changes in domestic interest rates and the exchange rate commands a broad consensus. The mechanism at play here involves a few steps, some of which are well established empirically, while some rest on fairly sketchy evidence. But most international macroeconomists would probably feel that this is a mechanism we understand; yet the evidence on which their views are based did not come in some single breakthrough, or in some key test of a fully articulated theory. Rather, it emerged from a gradual accumulation of theoretical modelling, and empirical investigations, and – most importantly – from the experience of watching a couple of key ‘natural experiments’ in which the authorities (in the USA and in the UK) introduced a hike in interest rates.

So let me allow that our knowledge of the workings of economic mechanisms may emerge slowly. Still, I want to suggest that if our knowledge of the workings of some basic economic mechanisms is well founded, then it ought to be possible to codify this knowledge in the form of clearly articulated theories that are empirically testable. So let me try out another question. I have on my shelf a lovely short paperback, dense with equations, entitled *The Six Core Theories of Modern Physics*. Here’s my question: do you think economics will ever arrive at a point – say 50 or 100 years from now – where someone will unblushingly summarise the state of our knowledge on basic issues in the form of a few succinctly stated theories (or models), whose empirical successes will have earned them this kind of status?

The reason I find myself a little out of step with many of my colleagues these days is that I am actually optimistic (albeit in a properly cautious, academic sort of way) about the prospects for finding economic theories that work. Indeed, I believe that economists have actually made substantial progress in that direction in certain areas. Option Pricing and Auctions are the areas most often cited by non-specialists when they are asked to name an economic theory that works. (Specialists in these two areas are less confident, but it’s the job of specialists to be dissatisfied with the current state of knowledge in their areas, so I’ll let that pass.) In my own area of Industrial Organisation, I think it is now clear that it is possible to formulate clearly enunciated theories that generate sharp testable predictions that are vindicated empirically. So to that degree, I’m an optimist.

The mood of the profession on these matters has oscillated widely over the past century. The view I’ve just offered you would have seemed over-optimistic in the 1930s; by the 1960s it would have coincided with the majority view in the profession; nowadays, I fear it is again a minority position. So what does mainstream opinion say?

Insofar as I understand it, it involves a sort of *modus vivendi* between the theorists, on the one hand, and the applied economists/econometricians on the other. This *modus vivendi* rests on two key elements:

(i) theorists invent models, and the Brownie points awarded do not depend primarily upon whether their theories/models are vindicated empirically. Instead, much stress is placed on claims that the models provide ‘insights’ into how markets work. (Of course, everyone agrees that it is a good thing if the theory or model works; and no-one can object to being provided with ‘insights’. My worry is that, in the absence of clear, empirical vindication of the theory, we have no reason to believe these insights will enlighten rather than mislead us.)

What makes this first key element in the story intellectually respectable is that it is acknowledged that empirical failures will feed back into a re-thinking of theory, so that the truth will emerge from a to-and-fro process. Nothing unreasonable there.

(ii) the second element nicely complements the first, and generates the ‘division of labour’ between the two halves of the profession. It holds that the theorist should hand over to the econometrician a number of theories or models, which the econometrician will elaborate as alternative econometric specifications; and that the focus of empirical investigation will lie in ‘letting the data decide’ on the selection of some ‘preferred specification’. Much emphasis is placed on the measurement of parameters of interest within the preferred specification, and any theory testing involved in the exercise is carried out jointly with this ‘model selection exercise’.

So what’s the problem? The view I have just described sounds eminently reasonable. Well, yes – insofar as it goes; but it doesn’t go very far. As part of an ‘investigatory’ strategy, it’s just fine. But I think we can ask for more. Whether as the outcome of some to-and-fro of investigatory exercises or otherwise, what we would like to see is the emergence of a few clearly enunciated theories that map observable market characteristics into observable outcomes (in other works, testable theories). What’s more, we’d like to see some such theories stand up to critical, empirical testing by independent researchers[i]. The one true measure of the value of a theory lies in its empirical success.

We economists have a battery of shared opinions about how markets work, and given the fuzziness of the empirical evidence available on many issues, we face a constant temptation to fall back on some theory or other which gels with our general feeling of ‘how things should work’[ii]. Against this background, I think it is vital to insist that if we do possess any reliable knowledge as to how markets work, then that knowledge should lend itself to codification in the form of a small number of theories that meet the minimal scientific standard suggested above. To settle for anything less is to abandon the claim that ours is a scientific discipline. ■

[i] A recent article in Philosophy and Economics cites some twenty theories or hypotheses launched over the past two decades. The usual pattern of events, it finds, is an initial flurry of ‘supportive’ evidence; and then the publication of new findings that undermine or overthrow the theory.

[ii] One critic has recently pointed to the fact that the new generation of “endogenous growth models” are seen as a great success, yet these models have been a failure in terms of empirical tests. Searching for an explanation for this, Sugden concludes that economists felt they needed a framework within which the role of knowledge flows in generating technological progress and growth could be analysed – the contribution of this literature is simply to provide us with a way of telling such a story. Advocates of these models will argue that they ‘know’ they are on the right track, and future extensions will reconcile theory and evidence. This is a slippery slope; as we have seen in other areas, the easiest way to effect such a reconciliation is to add elements to the model which remove all the constraints it places on observable outcomes; the theory is now just a ‘framework’ within which we can carry out ‘parameter estimation’.

John Sutton, Director, Economics of Industry Programme and Professor of Economics

‘Happiness’ in economics

One strand of Robert MacCulloch’s research seeks to explain how macroeconomic variables affect an individual’s self-reported well-being, or ‘happiness’. In his co-authored paper, ‘The Macroeconomics of Happiness’, changes in Gross Domestic Product are found to have strong effects on the happiness of nations. The paper also studies what happens to happiness when governments try to reduce the impact of economic fluctuations. The focus here is on the welfare state, and especially on the impact upon well-being of an unemployment benefit system. Some economists who study European unemployment have claimed a causal link between the region’s relatively generous welfare provision and its unemployment problems. By making life too easy for the unemployed, the argument goes, the welfare states of Europe have taken away the incentive to work and so fostered voluntary joblessness. The evidence does not support this belief. Contrary to conventional wisdom, the gap in happiness between the employed and unemployed has stayed the same since the 1970s. It has apparently not become easier, over the decades, to be out of work in Europe (see figure below).

In collaboration with Richard Layard, this project has been significantly widened in scope to include a large number of variables relating to health, the environment, crime, the family and the labour market. This is enabling them to account comprehensively and scientifically for the observed changes in happiness across Western Nations over the past three decades. It uses the most powerful statistical methods available and draws on recently available data covering over one half of one million randomly sampled people. ■

Average Life Satisfaction of Employed and Unemployed Europeans
(based on a scale where the lowest level of satisfaction is 1 and the highest is 4, measured across a random sample of 271,224 people).

See Appendix on page 36 for references

Robert MacCulloch, Economic Organisation and Public Policy Programme

The economic impact of institutional change: should Prime Ministers be elected?

Barbara Veronese, PhD student on the EOPP programme, has been working on the impact of institutional reforms on governments’ economic performance. In particular, she is addressing the issue of the impact of the transition from indirect electoral procedures to select executives to direct elections – a prominent feature that distinguishes parliamentary democracies from presidential ones. The predictions of political economy theory are tested empirically using a database on fiscal policy of local government for the period 1988-1997. Taking into account other relevant political (like party affiliation) and socio-economic variables, empirical evidence suggests that indeed democratic institutions (and changes thereof) play an important role in determining choices in public expenditure. ■

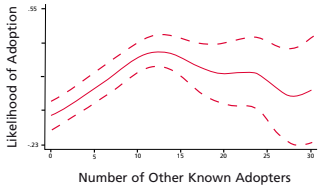
Barbara Veronese, Economic Organisation and Public Policy Programme

Sunflower adoption in Mozambique

In joint work with Oriana Bandiera, Imran was asked by an NGO working in Mozambique, to design a rural household survey. The NGO were distributing sunflower seeds, free of charge, to farmers in 40 villages in Northern Mozambique as part of a food security project. Imran and Oriana were able to ask farmers in 11 villages about their decision to take up the sunflower seeds, or not. Imran was in Mozambique in December 2000 to help administer the questionnaire.

The research question was whether, and how, the social networks of farmers influence their decision to adopt sunflower seeds. Since farmers anticipate that they will share information with others in their social group about how best to grow the new crop, the marginal benefit for each farmer of taking the sunflower seeds should increase with the number of other adopters known to them. We found this information-sharing effect to be present in the data we collected. In line with information sharing, the effect of the social network on the likelihood of a farmer adopting is greater for farmers who reported discussing agriculture with others. We also found that the relationship between the likelihood of adopting and the number of known adopters is shaped as an inverse-U, as shown in the figure below.

In other words, if a farmer knows a greater number of other farmers who adopt the sunflower, he himself is more likely to adopt. However, as the number of other known adopters continues to increase, his likelihood of adoption actually falls. Further analysis suggested that this might be due to the fact that social networks provide insurance. A high adoption rate within the network reduces the scope for effective risk sharing amongst the members of the social network. ■



See Appendix on page 36 for references

Imran Rasul, Economic Organisation and Public Policy Programme

The media and politics

Andrea Prat has been researching mass communications in politics from an economic perspective. Part of his work focuses on how political contributions from lobbies are used to finance campaign expenditures – a well-established phenomenon in the USA and an increasing one in Britain and other European countries. The model he develops may be used to evaluate alternative regulatory regimes. Also, in a joint project with Tim Besley, he has tackled the relationship between media independence and political accountability. They have developed a model linking ownership and concentration in the media industry with political outcomes and they have tested its predictions on a sample of 96 countries at all stages of development. The results suggest that, *ceteris paribus*, countries with a large number of privately owned media outlets (TV and newspapers) have lower corruption and higher political turnover. The presence of foreign owned media appears to have positive effects as well. ■

See Appendix on page 36 for references

Andrea Prat, Economic Organisation and Public Policy Programme

New research on British Japanese relations

In 1995, to mark the fiftieth anniversary of the end of the Pacific War, the Japanese government undertook to fund a series of research projects on the history of relations between Japan and some of the countries against which Japan had fought in the conflict. In the British case, the initiative funded a five-year project on the history of British-Japanese relations, in which both British and Japanese historians were involved. Two of the members of the Japanese Studies Programme in STICERD have been involved in this project. Professor Ian Nish has been the academic coordinator of the project on the British side, and joint convenor of the research on the history of political and diplomatic relations between the two countries. Janet Hunter has been joint convenor of the research on economic and business relations.

After several years of research, discussions and workshops, the work of the project is now culminating in the form of a series of publications in both English and Japanese. Each set of volumes consists of two on political/diplomatic relations, jointly edited by Ian Nish, one on economic relations, jointly edited by Janet Hunter, and two further volumes on military and cultural relations respectively. Four of the volumes have already appeared in Japanese, and the other one is expected before the end of this year. Ian Nish's two volumes have appeared in English, and Janet Hunter's will appear in November of this year. It is hoped that these volumes will go a considerable way towards synthesizing existing findings on the history of Anglo-Japanese relations, and filling some of the many gaps that have existed in our knowledge.

The project has been an interesting one to be involved in, and has provided the opportunity for much new research, although close collaboration with Japanese scholars and dependence on Japanese government funding have posed often unanticipated problems as well as providing intellectual interchange and stimulation. Sensitivities remain in a number of historical issues, and differences in interpretation remain. Preserving the academic integrity of the research has been crucial to our involvement. We are satisfied, however, that the project has helped to illuminate both the empirical record and the historical interpretations and approaches of the two sides, and as such hope that it will provide a basis of scholarship on which future historians can build. ■

See Appendix on page 36 for references

Janet Hunter and Ian Nish,
Japanese Studies Programme

Lectures by Professor Frank Hahn

On the 26th of April and on the 10th of May, Professor Frank Hahn (FBA, University of Cambridge and University of Siena), responding to an invitation by Professor Michio Morishima, delivered two lectures on General Equilibrium Theory to our PhD students. During the first session, Professor Hahn, who is responsible for many key contributions to General Equilibrium Theory, reviewed the main body of the subject, while during the second lecture he concentrated on new developments within the field.

Professor Hahn's characteristically witty style provoked and stimulated the interest of many of our PhD. students. Both lectures were attended by many graduate students who interacted closely with Professor Hahn. Given the success of this mini-series, Professor Morishima has renewed the invitation to Professor Hahn for the next academic year. ■

Leonardo Felli, Economic Theory Group

Appendices

Symposium on economics and social cohesion: Beyond the buzzword 'social capital' in economics (page 12)

Alesina, A., and E. La Ferrara (2000), 'Participation in Heterogeneous Communities', *Quarterly Journal of Economics*, Vol. 115:3, 847-904.

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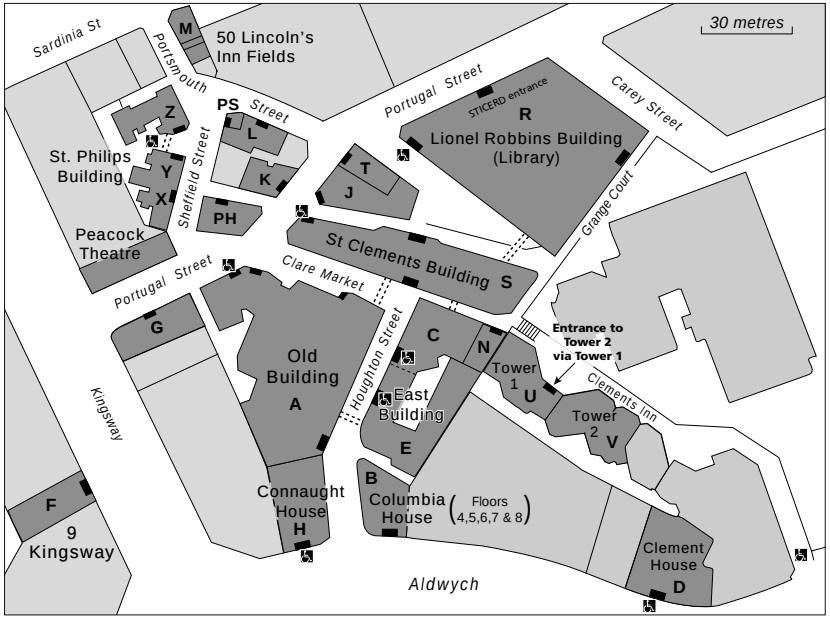

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